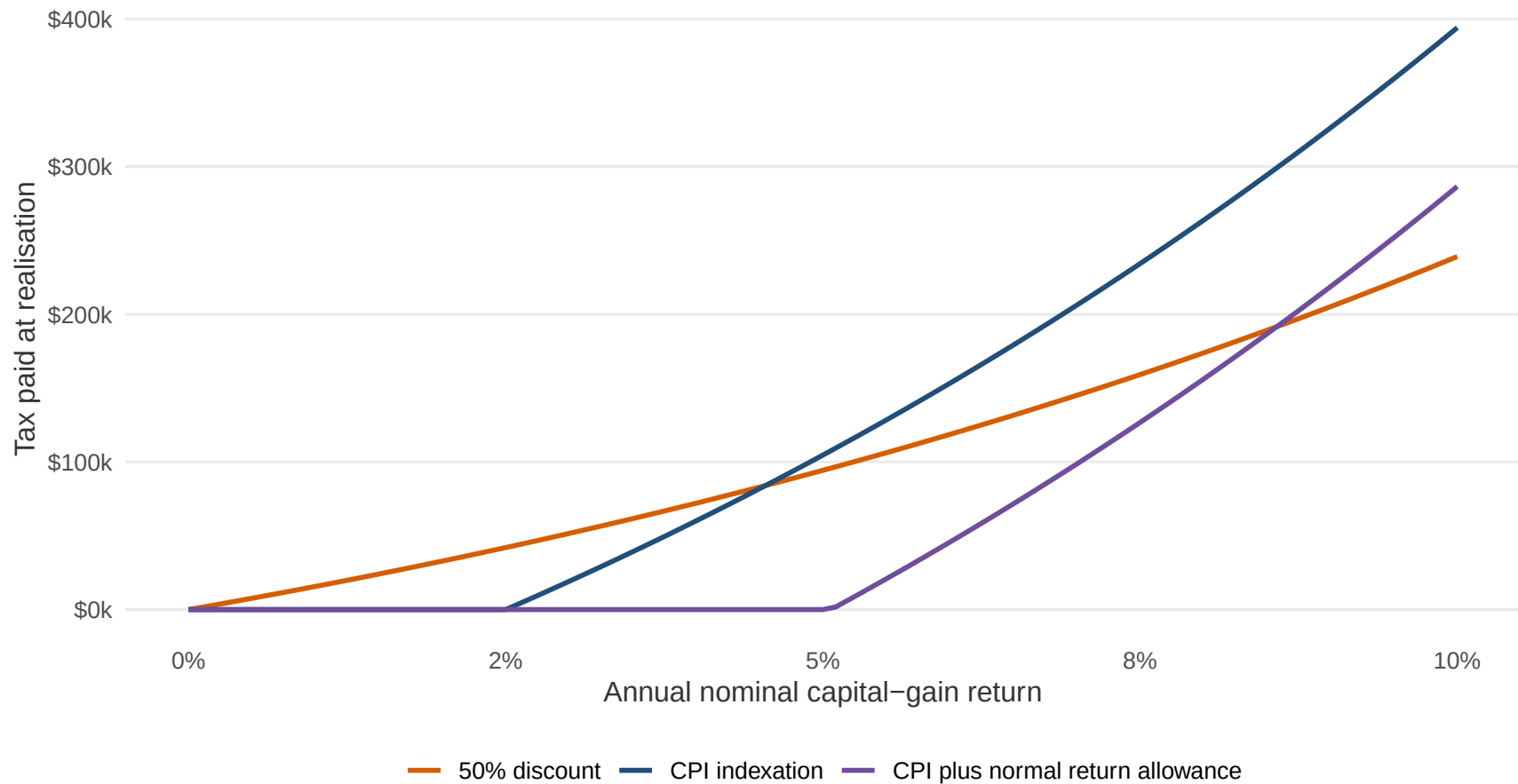


What return should be excluded from tax?

CPI indexation removes inflation; a normal-return allowance removes more



Asset cost base: \$1,000,000. Held for 10 years. Inflation: 2.5% per year. Normal real return allowance: 2.5%. Tax rate: 30%.